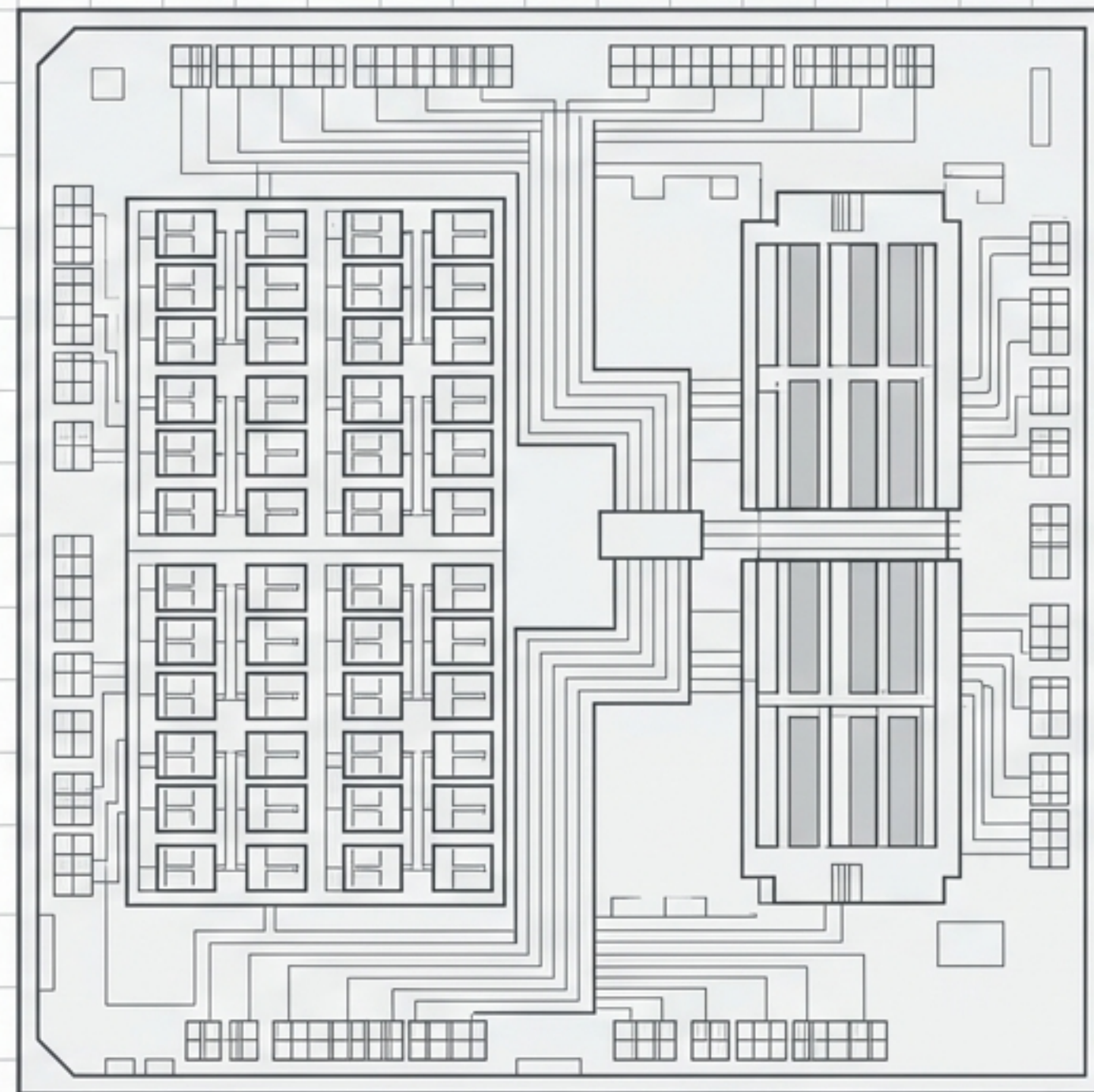




AMD Q1 2026: Accelerating the AI Engine

A diagnostic of Q1 outperformance, capex expansion, and the margin friction of AI scaling.

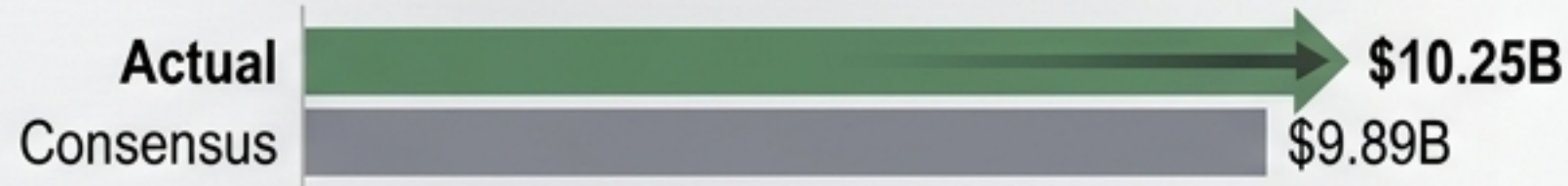


Q1 2026 Actuals vs. Consensus

Total Revenue

\$10.25B

vs. \$9.89B Est. (Up 38% Y/Y)



Adjusted EPS

\$1.37

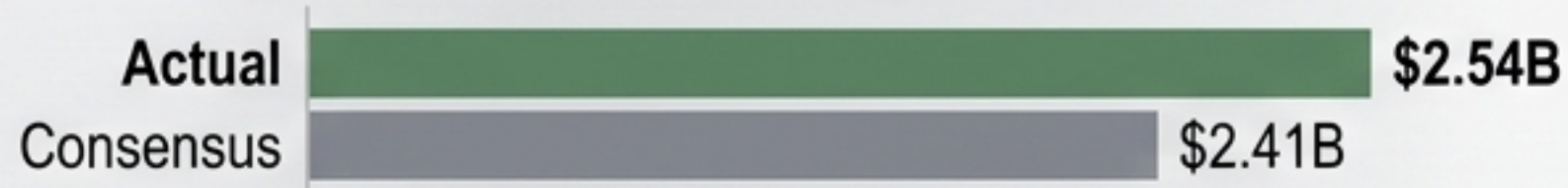
vs. \$1.28 Est. (Up 43% Y/Y)



Adjusted Operating Income

\$2.54B

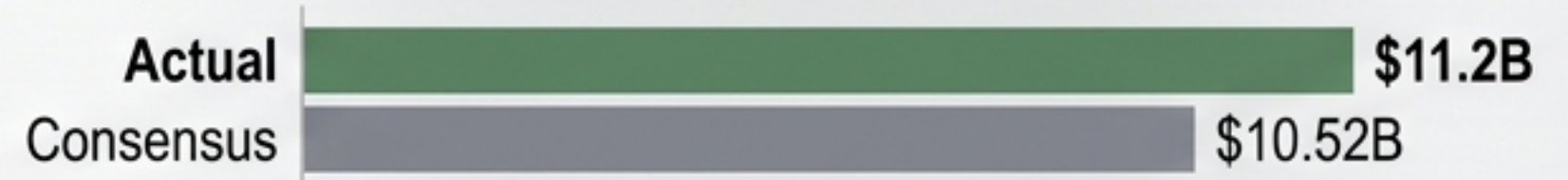
vs. \$2.41B Est. (25% Margin)



Q2 Revenue Guidance

\$11.2B

Midpoint vs. \$10.52B Est.



AMD cleared the bar on every major Q1 metric and guided well above consensus for Q2, underscoring continued momentum in AI compute demand.

The Revenue Engine: Segment Dissection

Data Center

Revenue:
\$5.8B
Up 57% Y/Y

Operating Margin: **28%** | Op Income: **\$1.6B**

Driver: Unprecedented demand for AMD EPYC processors and AMD Instinct GPUs.

Client & Gaming

Revenue:
\$3.6B
Up 23% Y/Y

Operating Margin: **16%** | Op Income: **\$575M**

Driver: Strong sales of latest Ryzen processors, offsetting seasonal softness.

Embedded

Revenue:
\$873M
Up 6% Y/Y

Operating Margin: **39%**
Op Income: **\$338M**

Driver: Return to growth led by adaptive computing platforms.

The Data Center Footprint: +57% Growth Realized

Meta Deployment

Deploying up to 6 GW of AMD Instinct GPUs (first 1-GW phase powered by custom MI450).

AMD Core AI Silicon

- Instinct GPUs (MI355X MLPerf leader, MI450 custom)
- 5th / 6th Gen EPYC Server CPUs

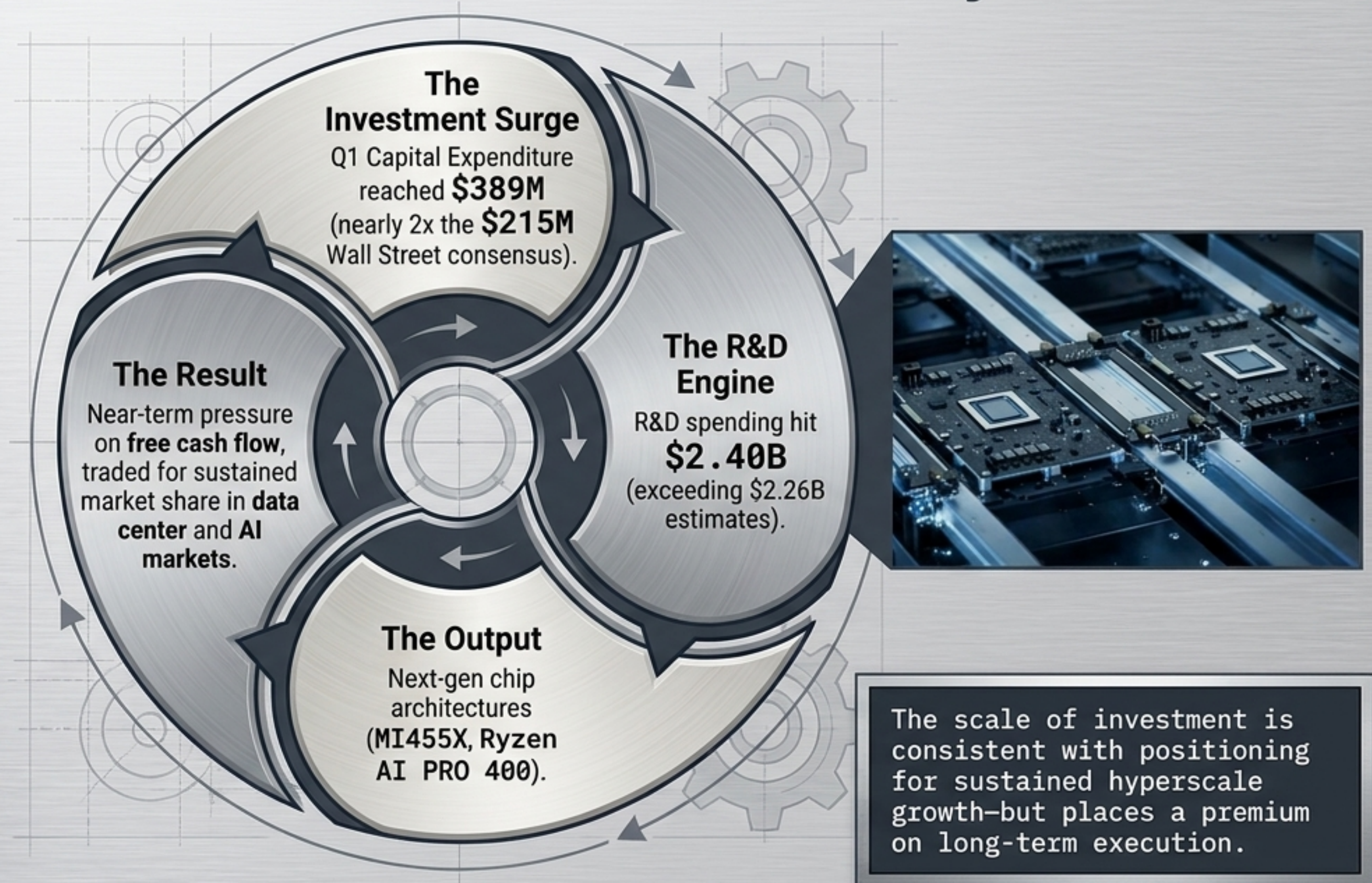
Hyperscaler Cloud

AWS, Google Cloud (H4D VMs), and Microsoft Azure launching new 5th Gen EPYC-powered instances.

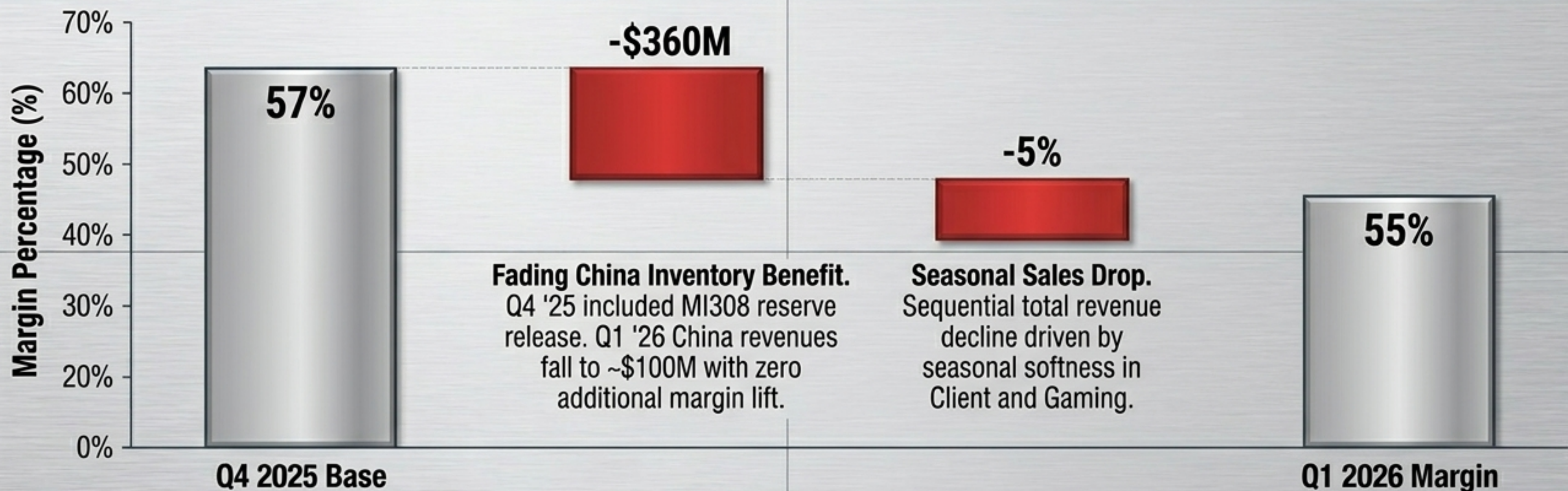
Supply Chain

Samsung collaboration on HBM4 supply for MI455X to ensure production scale.

The Capex & Innovation Flywheel



The Margin Friction: Q4 '25 to Q1 '26 Bridge



Margin contraction is not a breakdown in pricing power; it is the mathematical normalization following a one-time Q4 inventory benefit coupled with seasonal segment shifts.

The AI Semiconductor Battlefield

NVIDIA (NVDA)	Broadcom (AVGO)	AMD (AMD)
74.9% - 75.0%	~78.0%	55.0%
Expanding (Up from 61% in Q1 '26)	Contracting ~100 bps sequentially	Contracting 200 bps sequentially
AI Infrastructure acceleration and global geographic expansion.	Custom XPU adoption, massive backlog, higher mix of AI revenues.	Data Center expansion, EPYC/Instinct scaling.

While AMD is successfully capturing compute infrastructure buildouts, it operates at a ~2000 bps gross margin deficit compared to its primary AI peers.

Financial Shock-Absorbers: Cash Flow & Liquidity

Liquidity Fortress

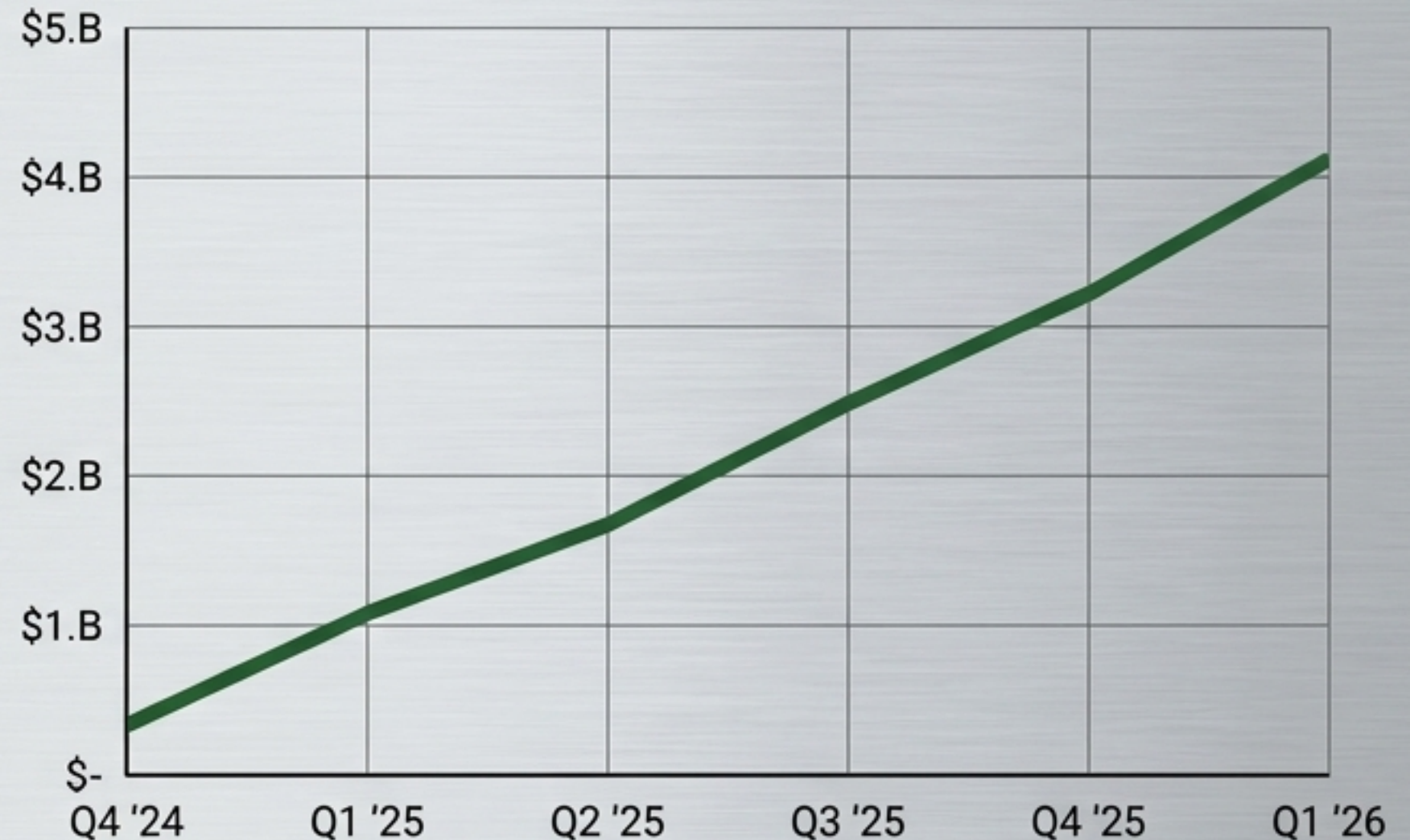
\$12.35B in Cash, Cash Equivalents, and Short-term Investments (Up 17% Q/Q).

Operational Cash Generation

Record \$3.0 Billion in cash from operating activities.

Free Cash Flow & Debt

Record \$2.6 Billion in Free Cash Flow.
Total Debt remains flat at \$3.2B.



Exceptional cash generation provides the financial shock-absorbers required to fund elevated R&D and Capex without diluting balance sheet strength.

The Horizon: Q2 2026 Guidance

~\$11.2B

Revenue Guide ($\pm$ \$300 Million)

Implying continued strong sequential growth.

~56%

Gross Margin Guide

Marking a 100 bps sequential recovery from Q1's 55% trough.

~\$3.3B

Operating Expenses

Indicating sustained heavy investment.

13%

Effective Tax Rate

Management signals that pricing and product mix remain highly favorable, guiding Q2 both revenue and gross margin above Street consensus.

Investment Scorecard: The Synthesized Thesis

The Growth Engine (Bull)

- Total revenue growth accelerating (+38% Y/Y).
- Data Center revenue up a staggering 57%.
- Securing anchor hyperscale deployments (Meta 6GW, hyperscaler cloud VMs).
- Record free cash flow generation (\$2.6B).

The Margin Friction (Bear)

- Gross margins lagging primary AI peers (55% vs NVDA's ~75%).
- Fading China inventory benefits stripping away one-time margin tailwinds.
- Capex running at nearly 2x consensus, requiring flawless future execution.

Synthesis: AMD's top-line growth is undisputable, capturing substantial share in the AI buildout. The central tension for 2026 is execution: balancing the heavy R&D and Capex burden required to fight NVIDIA while incrementally improving structural gross margins.